the objectives of the firm. The components of organisation consist of men, machine, materials, methods, money, functions, authority and responsibility.

Organisation involves division of work among people whose effort must be coordinated to achieve specific objectives and to implement predetermined strategies. Organisation is the foundation upon which the whole structure of management is built.

The term organisation is used in two different senses. In the first sense it is used to denote the process of organising. In the second sense the organisation refers to the structure of relationship among positions of jobs which is built up for the realization.



Division of work

Figure 3.1 Organising

3.2 Meaning

Organisation as a Process

In a dynamic sense, organisation as a process refers to the defining and grouping of the activities of the enterprise and establishing authority relationship among them. In the other words, it is the process by which the manager assembles his employees, delegates authority, fixes the responsibility and gets the work done.

Organisation as a structure

In a static sense, the term organisation refers to the structure manned by a group of individual who are working together towards a common goal. In other words, it refers to the structure of relationship among position and jobs which is built up for the attainment of the common objectives.

The task of organisation is to integrate the components effectively for the purpose of attaining the common goal. Organising is the function of gathering resources, establishing orderly uses for such resources and structuring tasks to fulfill organisation plans. It includes the determination of what tasks are to be done, how the task are to be grouped, who is going to be responsible to do the task and who will make decisions about these tasks.

3.3 Definition

According to Davis, "Organisation is a group of people, who are cooperating under the direction of leadership for the accomplishment of common end".

Urwick defines it as, "dividing up of the activities which are necessary to any purpose and arranging them in groups which are assigned to individual".

"Organising is the establishment of effective authority relationship among selected work, persons and work places in order for the group to work through effectively" – G.R.Terry

3.4 Nature of Organisation (Characteristics)

Organisation is an effective and necessary instrument for the attainment of predetermined goals. The following are the main characteristics of organisation.

1. **Division of Labour:** The total work to be done is divided into small parts and each work is entrusted

XII OSS_English version CHAPTER 03.indd 27 1/7/2020 5:42:43 PM